

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**COMPLAINANTS' OPPOSED MOTION TO COMPEL RESPONDENT
TO CURE PRODUCTION DEFICIENCIES AND PRODUCE A CORPORATE
REPRESENTATIVE FOR DEPOSITION AND EXTENSION OF TIME TO COMPLETE
DISCOVERY AND TO FILE BRIEFS**

Complainants Impact Products, LLC and Safety Zone, LLC (collectively, the “Complainants”) hereby move, pursuant to 46 C.F.R. § 502.150, to compel Respondent CMA CGM S.A. (“Respondent”), to cure its deficient production of documents, and to produce a corporate representative for a deposition. As a result, Complainants seek an extension of time for the remaining deadlines in the case to allow the discovery to be completed before submitting their opening brief. In support of this motion, Complainants state as follows:

I. BACKGROUND

Complainants filed their complaint against Respondent on February 14, 2024 alleging violations of the Shipping Act of 1984 (the “Complaint”). *See Impact Products, LLC and Safety Zone, LLC v., CMA CGM S.A.*, Proceeding No. 24-07 (Docket Entry 1). To date, the parties have exchanged Rule 502.141(b) initial disclosures, propounded written discovery, Complainants have answered discovery, and Respondents have partially complied with their obligations.

On March 22, 2024, Complainants served their initial disclosure, and on March 29, 2024, Complainants served their initial interrogatories and requests for production of documents to Respondent. Some months after the Complaint was filed, Complainants filed for Chapter 11

bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del. May 21, 2024) (the “Bankruptcy Proceeding”).¹

On April 29, 2024, Respondent served its responses to Complainants’ discovery requests, generally objecting to most of the requests and failing to provide any substantive responses or documents. Due to Respondent’s failure to provide substantive responses to Complainants’ discovery requests, Complainants served a discovery deficiency letter to Respondent on July 3, 2024. Subsequently, on July 25, 2024, Complainants served a notice of deposition on Respondent to depose a corporate representative with knowledge of: (1) the 132 containers (the “Relevant Containers”) shipped using CMA’s shipping vessels, as referenced in Paragraph 12 of the Complaint, and the spreadsheets produced by Complainants to Respondent, identifying the Relevant Containers by container number, and by Master and House Bill of Lading numbers; (2) email and other communications with Laufer Group International relating to the Relevant Containers; and (3) the invoices Respondent issued to Laufer Group International, as referenced in paragraph 12 and 13 of the Complaint. See **Exhibit A**, a copy of the notice of deposition.

On July 29, 2024, counsel for both parties discussed the remaining discovery deadlines and agreed that each party would supplement their discovery responses by the close of discovery on August 5, 2024. Both parties also acknowledged that they would not be able to complete depositions by the close of discovery. In particular, Respondent’s counsel indicated that more than one corporate representative might need to be deposed, as multiple representative have knowledge relevant to the allegations in the Complaint. The parties agreed to meet and confer to define the scope of inquiry for the CMA corporate representative to limit the number of potential

¹ Complainants were working through the bankruptcy process to determine who would ultimately own Complainants’ assets. TZ SSE Buyer, LLC, a Delaware limited liability company, is now the owner of all of Complainants’ assets (as of July 19, 2024), including the claims at issue in this proceeding. Complainants are in the

deponents. See **Docket No. 14, p. 3** (Joint Motion to Extend Discovery Deadline). Additionally, the parties agreed to file a joint motion for an extension of the deposition discovery deadline to Friday, August 30, 2024. See **Docket No. 14, p. 2**. Based on these representations from Respondent's counsel, Complainants agreed to withdraw their notice of deposition scheduled for August 1, 2024.

On July 31, 2024, Respondent served Complainant with its supplemental production of documents and responses to Complainants' initial set of interrogatories and requests for production of documents. However, some of the documents produced were incomplete, cutting off in the middle of the page, making it impossible to ascertain their full content. As required by the Commission's Rules, Complainants' relevant requests and Respondent's responses are set out verbatim and in full in **Exhibit B**, including a copy of the deficient documents produced by Respondent, which are not marked as confidential. On August 6, 2024, Complainants' counsel noted this deficiency and requested that Respondent correct it. Respondent's counsel acknowledged the issue on the same day and indicated that Respondent would cure the deficiency, but to date, Respondent has failed to do so.

Notably, since the last communication with Respondent's counsel on August 6, 2024, Complainants' counsel has made multiple attempts to discuss depositions, Complainants' Bankruptcy Proceeding, and Respondent's deficient document production with Respondent. However, Respondent has not responded to any of these communications. On August 28, 2024, just two days before the close of discovery, Respondent's counsel emailed Complainants' counsel with a formal letter stating that they would not comply with the amended scheduling order until they receive a copy of the bankruptcy court authorizing Complainants' counsel to

process of transferring the claims to TZ SSE Buyer, LLC ("TZ SSE Buyer"), or a third-party owned by TZ SSE Buyer. This third-party will need to prosecute the claims in their own name.

prosecute this FMC matter. However, no order from the bankruptcy court is necessary. This is the first communication from Respondent since August 6, 2024. Complainants have also produce an expert report from a retained expert.

Now, Respondent has moved to dismiss the case even though it previously answered the Complaint.

II. ARGUMENT

Complainants have made good faith effort to depose a corporate representative of Respondent since July 25, 2024, to complete discovery in this matter. Simultaneously, Complainants have been working to transfer all of their assets, including the claims in this proceeding, to TZ SSE Buyer, or a third-party owned by it, who purchased all of Complainants assets as part of a sale in the Bankruptcy Proceeding. In the process, Complainants have responded to all of Respondent's discovery requests and have produced a substantial amount of documents relevant to the allegations in the Complaint and Respondent's discovery requests.

Initially, on July 25, 2024, Complainants served Respondent with a notice of deposition to take the deposition of one of Respondent's corporate representatives on August 1, 2024. *See Ex. A.* Complainants subsequently agreed to withdraw their notice after Respondent's counsel represented that the parties would work together to define the scope of inquiry for the deposition of Respondent's corporate representative, aiming to limit the number of potential deponents. *See Docket No. 14, p. 3.* Based on this assurance from Respondent's counsel, the parties filed a joint motion to extend discovery to complete depositions by August 30, 2024. . *See Docket No. 14.* After the joint motion was granted, Complainants repeatedly attempted to contact Respondent's counsel to discuss the status of the Bankruptcy Proceeding, the scheduling of depositions and

Respondent's deficient production of documents. However, Respondent has failed to respond to any of Complainants' requests.

Complainants request that the Presiding Officer compel Respondent to rectify its deficient document production, specifically those documents that were cut off in the middle of the page and are therefore incomplete. Complainants particularly request that the Presiding Officer compel Respondent to produce full images of these incomplete documents, including those Bates labeled by Respondent as 0612 through 0633. *See Ex. B.* Additionally, since the amended scheduling order requires that depositions be completed by August 30, 2024, Complainants request that the Presiding Officer compel Respondent to produce a corporate representative for their deposition.

Further, Complainants seek an extension of the remaining deadlines in the case to allow Complainants to complete the depositions, Respondents to produce the remaining documents, and for the briefing schedule to be extended due to Respondents' failure to comply with discovery. Next week Complainants will be moving for leave to substitute the new entity as the proper Plaintiff. No bankruptcy approval is necessary since all of Complainants' assets have been sold.

CONSULTATION

As noted above, Complainants have repeatedly notified Respondent of the deficiencies outlined above and requested a time to depose one of Respondent's corporate representatives, but Respondent has failed to address these deficiencies or respond to Complainants' requests regarding depositions. *See* Certificate of Attempt to Confer (**Exhibit C**) regarding Complainants' multiple attempts to confer with Respondent's counsel.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons, Complainants respectfully request that the Presiding Officer order Respondent to: (1) cure its deficient production of documents by providing full images of the incomplete documents it produced, including those Bates labeled 0612 through 0633; and (2) produce a corporate representative to be deposed by Complainants.

Additionally, Complainants' request that the Presiding Offer extend the deadlines in the case, including the date by which Complainants need to file its opening brief from September 4, 2024 to October 3, 2024 and further extended dates for the Response and Reply to allow the discovery to be completed before its brief is filed, and for all other relief this Court deems fair and proper.

Dated: August 30, 2024

Respectfully submitted,

CLARK HILL PLC

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CERTIFICATE OF SERVICE

I, Michell Pacheco Soto, an attorney, certify that on the 30th day of August, 2024, a true and correct copy of the foregoing Motion to Compel and Attachments were served by email on all counsel of record in accordance with 46 CFR Part 502.

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